WAVERLEY GATEWAY GUIDE

Connecting International Capital

SAN MARINO

Europe

Information current as of November 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
City of San Marino	Capital and historic centre, seat of the Captains Regent, the Congress of State and the Great and General Council, and the focus of the tourism economy	Tourism, retail, public services, professional services
Serravalle	The Republic's main manufacturing district, producing ceramics, clothing and electronic components for export	Mechatronics, electronics, light manufacturing, logistics
Nationwide high-tech start-up regime	San Marino Innovation certifies start-ups that can pay 0%, 4% or 8% profit tax for up to 12 years	Software, digital technology, deep tech, research
Banking and financial centre	A consolidating banking system with about €7 billion of total funding, profitable for a fifth consecutive year in 2025	Banking, asset management, fintech, insurance
Tourism and Torraccia airfield sites	The government has invited private proposals for hotels, convention, wellness and sports facilities and expansion of the Torraccia airstrip	Hospitality, events, wellness, aviation services
Renewable energy programme	The state utility AASS is developing renewable plants to increase energy independence	Solar power, energy efficiency, grid services
Emilia-Romagna and Marche border region	8,699 cross-border workers, 37.9% of employees, give firms access to the wider Italian labour market and supply base	Back-office services, distribution, cross-border manufacturing

INVESTOR ENTRY ROUTES

- Agenzia per lo Sviluppo Economico – Camera di Commercio, a public-private company that supports foreign investors and helps identify local partners, including in the high-tech manufacturing cluster
- General income tax (IGR) on company profits at 17%, rising gradually to 18% over 2026–2030 under Law no. 141 of 2025, with reliefs for profits reinvested in innovation and energy saving
- High-tech start-up status under Delegated Decree no. 101/2019, certified by San Marino Innovation, with 0–8% profit tax, capital-gains exemption and residence permits for staff
- The euro as legal tender under the 2012 monetary agreement with the EU, updated in October 2026; ECB policy rates apply, with the deposit rate at 2.50% after the 29 October 2026 meeting
- Customs union with the EU for goods and an open border with Italy

- EU Association Agreement signed on 19 October 2026, providing for participation in the EU internal market once ratified, with phased access for financial services

MARKET-ENTRY OBSERVATION

San Marino in November 2026 is on its strongest footing in more than a decade, with an investment-grade rating, falling debt and a signed agreement on access to the EU internal market. Real GDP grew 1.5% in 2025, with inflation of 2.3%, and the government expects 1.3% growth in 2026. Fitch raised its rating to BBB in June 2026 and S&P to A- in the same month, and in April 2026 the Republic issued a €350 million five-year Eurobond at 3.625%, against 6.5% on the bond it replaces. Public debt is projected to fall to 58.1% of GDP by end-2026, and the IMF has praised strong fiscal performance and substantial debt reduction. The labour market is tight, with strict unemployment of 3.1% and 5,318 registered companies at end-2025, and the EU Association Agreement signed on 19 October 2026 opens the way to the full EU internal market.

San Marino's main structural challenge is completing the repair of its banking system while broadening a small tax base. The IMF notes that legacy non-performing loans, high operating costs and tight capital at some banks still need attention, and the government is replacing perpetual bonds at the state-owned Cassa di Risparmio. Progress is clear: the banking system posted a fifth consecutive year of profit in 2025, with all banks profitable, and the Central Bank recorded one of its best results. On revenue, the income tax reform in force since January 2026 is expected to raise about €17 million a year, and the government is assessing a VAT. Ratification of the Association Agreement and the planned electronic invoicing system should modernise the economy, creating opportunities in financial services, technology and EU-facing manufacturing.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Association Agreement ratification	The agreement needs European Parliament consent, Council conclusion and ratification in San Marino before it applies	Plan for phased entry into the internal market; the customs union and euro agreement already give a strong base
Banking-sector legacy	Non-performing loans remain high by EU standards, and some banks have tight capital	The system has been profitable for five years running; review counterpart banks' capital and asset quality before committing
Debt refinancing	Gross financing needs reach €489 million in 2026 as the 2027 Eurobond is repaid	The April 2026 bond at 3.625% has pre-funded repayment and rating upgrades have lowered borrowing costs
Tax system changes	The corporate IGR rate rises from 17% to 18% by 2030 and a VAT is under consideration	Rates remain low by European standards; model the phased increase and any indirect-tax reform in business plans
Small labour market	Strict unemployment of 3.1% means skilled staff are scarce	Recruit across the Italian border region, where cross-border workers already make up 37.9% of employees
Scale and limited land	A small territory limits industrial space and domestic demand	Use San Marino as a low-tax base serving Italian and EU markets, and engage the development agency on available sites
Financial-centre reputation	International banks apply careful checks to small financial centres	San Marino is not on the FATF grey list and has strengthened its anti-money-laundering regime under MONEYVAL review

INVESTOR RISK NOTE

San Marino's risk profile is that of a stable parliamentary republic with an investment-grade rating, the euro and close integration with Italy and the EU. The June 2024 general election gave the Christian Democrats (PDCS) the largest group, with 22 of 60 seats, and Secretary of State for Foreign Affairs Luca Beccari has led the EU negotiations. Rating upgrades by Fitch and S&P in 2026, a successful Eurobond refinancing and a declining debt ratio show that the fiscal position has strengthened considerably. The main issues are the remaining legacy of the

banking crisis, which is being addressed through provisioning, recapitalisation and the conversion of perpetual bonds, and the time needed to ratify the Association Agreement. San Marino is not on the FATF grey list, and no sanctions or legal restrictions limit ordinary investment.

MARKET ACCESS

San Marino is not an EU member, but it forms a customs union with the EU for goods and shares an open border with Italy, its main trading partner and source of cross-border workers. The euro is legal tender under the 2012 monetary agreement with the EU, updated in October 2026. The Association Agreement signed with the EU on 19 October 2026, after negotiations concluded in December 2023, will give San Marino participation in an extended EU internal market under common rules, with access for financial services phased in once its supervisory framework is judged equivalent. The agreement also covers cooperation in research, education, environment and consumer protection. San Marino's manufacturers already supply mechatronics, appliances and components into Italian and European supply chains across the neighbouring Italian regions.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Congress of State (Government) and the Captains Regent	The Congress of State sets economic and fiscal policy; the two Captains Regent serve jointly as head of state for six months	Primary reference point for strategic projects and policy dialogue
Agenzia per lo Sviluppo Economico – Camera di Commercio	Public-private development agency supporting foreign investors and local firms' internationalisation	Standard first point of contact for market entry and partner search
Central Bank of the Republic of San Marino	Supervises banks and financial firms outside the Eurosystem, and recorded one of its best results in 2025; Director General Andrea Vivoli	Relevant for banking, payments and financial-sector licences
Secretariat of State for Foreign Affairs (Luca Beccari)	Leads relations with the EU and the Association Agreement process	Key counterpart on EU market access and international partnerships
Secretariat of State for Finance and Budget	Leads the budget, tax reform, debt management and Eurobond issuance	Key counterpart on tax, fiscal and public-finance matters
San Marino Innovation	State-owned institute that certifies high-tech start-ups and promotes innovation	Gateway to the start-up tax regime and technology partnerships
AASS (Autonomous Public Utilities State Corporation)	State utility for energy and water, developing new renewable plants	Counterpart for energy-sector suppliers and investors

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Agenzia per lo Sviluppo Economico – Camera di Commercio is the main channel for foreign investors, organising introductions to local companies, sector clusters such as high-tech manufacturing, and corporate, tax and legal advisers. San Marino Innovation supports technology start-ups and investors. San Marino has been a shareholder of the European Bank for Reconstruction and Development since 2018; although it is not an operating country, the government and the Chamber of Commerce are working to help local firms access EBRD support. Italian business associations and banks in neighbouring Emilia-Romagna and Marche, and San Marino's consulates abroad, including in London, are further sources of contacts.

INVESTOR PROFILE BEST SUITED

San Marino suits investors seeking a low-tax, euro-based European base with close links to Italian industry: manufacturers in mechatronics, electronics and appliances serving Italian and EU supply chains; technology start-ups and innovation firms using the 0–8% start-up tax regime; financial investors interested in a consolidating banking sector as it prepares for EU internal-market access; and tourism, hospitality and renewable-energy investors drawn by government plans for tourism sites and energy independence.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Economic Development Agency
Open dialogue with the Agenzia per lo Sviluppo Economico – Camera di Commercio on company formation, sites, licences and potential local partners.

STEP 2: Assess tax and start-up incentives
Model the IGR rate path to 18% and test eligibility for San Marino Innovation certification and reinvestment reliefs.

STEP 3: Track the Association Agreement timetable
Follow European Parliament consent and ratification in San Marino, and plan how internal-market access will affect the business model.

STEP 4: Review banking partners
Assess the capital and asset quality of San Marino banks and confirm the Central Bank's licensing requirements for any financial activity.

STEP 5: Plan recruitment across the border
Build a staffing plan that draws on the Italian border region, given the tight local labour market.